

# Digital Cheque — Global Precedents

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## Summary

Hong Kong's **e-Cheque** (live since 7 Dec 2015) and Singapore's **EDP / EDP+** (live since 28 Jul 2025) are the two strongest precedents: both are regulator-backed, interbank and live. They sit at opposite ends of India's choice — Hong Kong digitised the cheque and kept it a cheque in law (Scenario A in our forecast); Singapore built a post-dated payment that deliberately is *not* a cheque (Scenario B).

**Key lesson:** Singapore's **EDP+**, which takes the funds at issuance, answers the payee's need for assurance without relying on court action — something Hong Kong's model cannot do.

**Not chosen:** the US "eCheck" (a marketing name for an ACH debit, not a cheque) and the UK's image clearing (India's CTS already does this). Both are general knowledge, not researched here.

## Hong Kong: e-Cheque

The e-Cheque is the "electronic counterpart of the paper cheque", governed by the Bills of Exchange Ordinance with the same legal protection as paper. It launched on 7 Dec 2015 with nine issuing banks; all banks accept deposits.

flowchart LR

A[Payer issues in<br/>online banking] --> B[Bank signs PDF<br/>with certificate]

B --> C[Payer emails<br/>the PDF]

C --> D[Payee deposits via<br/>bank or Drop Box]

D --> E{Signature valid &<br/>not a duplicate?}

E -->|Yes| F[Clears like<br/>a paper cheque]

E -->|No| G[Rejected with<br/>reason by email]

The file travels between people; the central Drop Box checks it is genuine and has not been deposited before.

| Parameter      | How Hong Kong handles it  |
|----------------|---------------------------|
| Legal identity | A cheque under cheque law |

| Parameter            | How Hong Kong handles it                                                                           |
|----------------------|----------------------------------------------------------------------------------------------------|
| Form                 | Digitally signed PDF; cannot be printed and deposited; a scan of a paper cheque is not an e-Cheque |
| Authentication       | PKI digital certificates from recognised certification authorities                                 |
| Payee identification | Name only; payee shares no account details with the payer                                          |
| Post-dating          | Allowed (HSBC: up to 90 days); cannot be presented before its date                                 |
| Validity             | 6 months from the cheque date                                                                      |
| Crossing             | Non-negotiable and "account payee only" (HSBC)                                                     |
| Duplicate protection | Central system rejects any repeat deposit                                                          |
| Genuineness check    | Signature and integrity verified on deposit                                                        |
| Funds certainty      | None — can bounce (HSBC fee: HK\$150 for insufficient funds)                                       |
| Stop payment         | Online, free for undeposited e-Cheques (HSBC)                                                      |
| Notifications        | Email; optional app alerts                                                                         |
| Hours                | All year except Sunday 01:00–05:00; weekday cut-off 5:30 pm                                        |
| Fees                 | Drop Box free; bank charges vary                                                                   |
| Business features    | Batch issuance (HSBC: up to 200 via CSV); company certificates                                     |

Rows marked HSBC apply to that bank only.

## Singapore: EDP and EDP+

Electronic Deferred Payment replaces post-dated cheques as Singapore sunsets corporate cheques (issuance stopped 1 Jan 2026; processing stops 1 Jan 2027). It is deliberately **not** an electronic cheque, so the Bills of Exchange Act does not apply; if it is not honoured, recourse is through the underlying debt. It launched on 28 Jul 2025 at seven banks: Citibank, DBS, HSBC, Maybank, OCBC, Standard Chartered and UOB.

## flowchart LR

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A[Payer creates EDP<br/>or EDP+ in bank app] --> B[Payee notified<br/>email / SMS / app]
B --> C{Payee accepts?}
C -->|Reject| X[Closed]
C -->|Accept| D[Wait for<br/>effective date]
D --> E[Payee presents<br/>manual or auto]
E --> F[Funds within<br/>2 working days]

```

The record lives inside the banks — no file is passed around — and both sides are notified at every step.

### The two variants

- **EDP:** money leaves the payer's account only when the payee presents it — like a cheque, it can fail.
- **EDP+:** money leaves at issuance and "cannot be used for other transactions" — guaranteed payment.

| Parameter            | How Singapore handles it                                       |
|----------------------|----------------------------------------------------------------|
| Legal identity       | Not a cheque; recourse is the underlying obligation            |
| Form                 | A record in the banks' systems                                 |
| Authentication       | The bank's normal digital-banking login and approval           |
| Payee identification | Mobile number, NRIC/FIN, UEN (business number) or bank account |
| Post-dating          | Core feature: from the next day up to 6 months ahead (UOB)     |
| Validity             | 6 months from the effective date                               |
| Funds certainty      | Payer chooses: EDP (can fail) or EDP+ (funds taken at issue)   |
| Payee control        | Accept or reject (UOB); manual or automatic presentment        |
| Cancellation         | Either party, before presentment                               |
| Notifications        | Issued, presented, cancelled, expired                          |
| Settlement time      | Up to 2 working days                                           |

| Parameter         | How Singapore handles it                                        |
|-------------------|-----------------------------------------------------------------|
| Expiry            | EDP must be reissued; EDP+ refund per bank policy               |
| Fees              | Set per bank; UOB currently waives them                         |
| Business features | Internal approvers (OCBC); sits alongside PayNow, FAST and GIRO |
| Coexistence       | Retail cheques continue; corporate cheques sunset               |

Rows marked UOB or OCBC apply to that bank only.

## Comparison and lessons for India

India's RBI wording ("electronic cheques", Payments Vision 2028 s.3.10) leans towards Hong Kong's legal model, but Singapore's experience design fits our research needs better. The "India" column is our reading, not RBI policy.

| Design question           | Hong Kong                    | Singapore                  | Implication for India                                                               |
|---------------------------|------------------------------|----------------------------|-------------------------------------------------------------------------------------|
| Still a cheque in law?    | Yes                          | No                         | Hong Kong route keeps NI Act s.138 in play                                          |
| Where does it live?       | A file passed between people | A record inside banks      | A file needs authenticity and duplicate checks; a bank record avoids fake-PDF fraud |
| Can the payee rely on it? | No — can bounce              | Optional (EDP+)            | A funds-reserved option meets payee assurance without court action                  |
| What does the payee see?  | Only the file received       | Full status and alerts     | Singapore fits our "no silent states" principle                                     |
| Payee identification      | Name only                    | Phone, ID, business number | India has UPI IDs and the proposed Domestic LEI (Vision 3.15)                       |
| Post-dating               | Up to 90 days (HSBC)         | Up to 6 months             | Must reconcile with NI Act "payable on demand" and 3-month validity                 |

| Design question    | Hong Kong           | Singapore                | Implication for India                                   |
|--------------------|---------------------|--------------------------|---------------------------------------------------------|
| Payee consent      | Implicit on deposit | Explicit accept / reject | Explicit acceptance creates a clear record of agreement |
| Business workflows | Batch issuance      | Internal approvers       | MSMEs need both                                         |

### Design takeaways (hypotheses to test with users)

- A hybrid may serve India best: a legally recognised e-cheque (Hong Kong) with a bank-held record, status visibility and an optional funds-reserved variant (Singapore).
- Payee assurance options should be explicit choices, not hidden defaults.
- Blank security cheques have no equivalent in either system — both require date and amount at issue.

## Gaps and sources

### Open gaps

- ☐ Usage data for both systems (volumes, adoption) — not found yet
- ☐ Confirm details directly on MAS and HKMA pages (they blocked automated access)
- ☐ How Hong Kong handles e-Cheque dishonour in court vs paper
- ☐ Whether any other country runs a live e-cheque (e.g. in the Middle East or Southeast Asia)

### Sources

- [Hong Kong government: e-Cheque launch press release, 23 Nov 2015](#)
- [HKICL: e-Cheque Drop Box FAQ](#)
- [HSBC Hong Kong: e-Cheque FAQ](#)
- [ABS: EDP / EDP+ launch release](#)
- [UOB: Electronic Deferred Payment](#)
- [OCBC: Electronic Deferred Payment](#)
- [Rajah & Tann: MAS roadmap and EDP legal status](#)
- [RBI Payments Vision 2028 \(official PDF\)](#)